

even making her bed. This ultimate form of subsidy goes beyond economic outpatient care—call it economic inpatient care.

Is a rent-free environment ideal for a young entrepreneur? We don't think so. Nor is the gift of a business. The most successful business owners are the ones who put much of their own resources behind their ventures. Many succeed because they *have* to succeed. It's their money, their product, their reputation. They have no safety net. They have no one else to rely upon for their success or failure.

Third, the parents of Ms. BPF added yet another element to the equation. What if their daughter did not have to worry initially about generating profits from her venture? They believed that reducing this burden would enhance their daughter's probability for success. Ms. BPF became yet another member of the subsidized cluster. Her parents give her approximately \$60,000 in cash and equivalents each year.

What is the result of having created this "ideal" environment? Today Ms. BPF is in her late thirties. She still lives at home. She has no commercial-related debts. Her folks financed her business and continue to do so. Last year her business earned her nearly \$50,000. Her parents continue to give her \$60,000 every year. They still feel that Ms. BPF will become truly independent sometime in the future. We are not as optimistic as her parents in this regard.

Most successful entrepreneurs are not like Ms. BPF. How many entrepreneurs who are still in the start-up phase of their venture would do what Ms. BPF has recently done in one year?

- ◆ Purchased a \$45,000 automobile without shopping or negotiating the price or conditions
- ◆ Paid \$5,000 for a watch, \$2,000 for a suit, and \$600 for a pair of shoes
- ◆ Paid more than \$20,000 for clothing in general
- ◆ Paid more than \$7,000 for interest on credit card balances and revolving retail credit
- ◆ Paid more than \$10,000 for dues/fees at area country clubs

The answer is very few. Ms. BPF's business is not really a success. It is heavily subsidized directly and indirectly via other people's money. Actually, Ms. BPF has been short-changed by her parents. She may never know if she could make it on her own. The "ideal" conditions they